

Strategic Modeling — Module 01: Systems —

Discussion Questions

20 questions on competitive ecosystems, industry structure, and multi-agent market dynamics.

1. How does framing strategy as managing a "firm-environment system" change strategic thinking compared to viewing the firm in isolation?
2. Apply Porter's Five Forces to an industry you know well. Which force exerts the strongest pressure? How does the firm respond?
3. How do network effects change the dynamics of competitive ecosystems? Why are platform businesses so hard to compete against?
4. Apple's App Store is both an asset (revenue) and a boundary management challenge (developer relations, regulation). Analyze the trade-offs of tight vs. loose boundary control.
5. How do markets function as "distributed inference environments"? What do markets "discover" that no individual firm could?
6. When does an industry constitute a "system" versus just a collection of independent firms?
7. How should a firm's strategic sensing change when the competitive system itself is changing (industry disruption)?
8. Compare a stable industry (utilities) with a dynamic industry (tech). How do the system dynamics differ?
9. How do regulatory changes reshape the competitive ecosystem's Markov blanket?
10. What determines whether a firm's competitive boundary is an asset (barrier to entry) or a liability (rigidity)?
11. Map the competitive ecosystem for a company you know. Identify all significant agents and their relationships.
12. How would you evaluate whether a market is efficient (good at distributed inference) or inefficient (full of opportunities)?
13. When two ecosystems compete (e.g., Android vs. iOS), what determines the outcome?

14. How do mergers and acquisitions change the system structure of a competitive ecosystem?
15. Design a competitive sensing system for your organization that monitors all five forces.
16. How does globalization change the boundaries of competitive ecosystems?
17. When should a firm try to change the structure of its industry (reshape the system) versus adapt to it?
18. Compare competitive dynamics in a two-player market (duopoly) versus a fragmented market. How does strategic inference differ?
19. How do supply chain dependencies create system-level vulnerabilities in competitive ecosystems?
20. Design a "competitive ecosystem map" for an emerging industry. How would you handle the uncertainty about which agents and relationships will matter?